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IN THE SECOND DISTRICT COURT OF APPEAL
STATE OF FLORIDA

Case No. 2D2025-2321
LT No. 5522023CA006992XXCICI

FLORIDA MUNICIPAL INSURANCE TRUST,
SUBROGEE OF THE CITY OF DUNEDIN,

Appellant,

v.

BLACK & VEATCH CORPORATION, et al.,

Appellees.

AMICUS CURIAE BRIEF OF THE FLORIDA ASSOCIATION OF THE AMERICAN INSTITUTE OF ARCHITECTS IN SUPPORT OF APPELLEES

ASHLEY GRABOWSKI
Florida Bar No. 1049290
FOLEY & LARDNER LLP
100 North Tampa Street, Suite 2700
Tampa, Florida 33602
agrabowski@foley.com

BENJAMIN J. GROSSMAN
Florida Bar No. 92426
FOLEY & LARDNER LLP
106 East College Avenue, Suite 900
Tallahassee, Florida 32301
(850) 222-6100 (Telephone)
(850) 561-6465 (Fax)
bjgrossman@foley.com

COUNSEL FOR AMICUS CURIAE

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STATEMENT OF INTEREST

The Florida Association of the American Institute of Architects ("AIA Florida") is a Florida not-for-profit corporation, chartered by the American Institute of Architects, that is dedicated to the advancement of the architectural profession. AIA Florida has over 3,900 members, and serves as the voice of the architecture profession in Florida, protecting and advancing the practice of architecture, ensuring the health, safety, and welfare of the public interacting with the built environment, and serving as an advocate for its members with respect to issues that will directly affect all architects in the State of Florida, including through filing amicus briefs with Florida courts.

AIA Florida's interest in advocating for its members is especially heightened with respect to issues that have the potential to undermine well-established legal frameworks under which architects operate and architecture is practiced in the State. The issue addressed in this amicus brief concerning the enforceability of waiver of subrogation clauses, which are regularly used by architecture, engineering, and construction firms throughout the State and nation

to customize risk allocation amongst sophisticated parties and enable risks to be insured against by the party best able to bear such risk, is precisely such an issue. The use of such common contractual terms enables clients and professionals to have certainty with respect to responsibility for losses, control costs, and ensure that complex projects can move forward without becoming embroiled in complex litigation that will delay or threaten the project. *Amicus* will provide the Court with a perspective concerning the potential impacts of Appellant's assault on the enforceability of such common contractual clauses on architects in the State of Florida.

STATEMENT OF THE CASE AND FACTS

AIA Florida adopts Appellees' Statement of the Case and Facts.

SUMMARY OF ARGUMENT

The law and public policy of the State of Florida strongly support the fundamental freedom of parties to contract. Guided by this principle, Florida law recognizes the validity of waiver of subrogation clauses negotiated and entered into by sophisticated parties. These provisions play a critical role in complex construction projects, by allowing the parties to efficiently and effectively allocate

risks amongst themselves in order to minimize unnecessary costs and ensure an efficient market for professional services. Against this backdrop, the Sixth Judicial Circuit Court in and for Pinellas County, Florida correctly concluded that, under Florida law, the contract between the City of Dunedin ("City") and Overland Contracting Inc. ("Overland") and its subsequent amendments (collectively, the "Contract"), which called for each party to carry specified insurance policies and waived claims and subrogation rights for damages covered by the specified insurance policies, were enforceable and relieved Black & Veatch Corporation ("Black & Veatch" or, collectively with Overland, "Appellees")[1] of liability for the subrogation claims brought by Florida Mutual Insurance Trust ("FMIT"). Appellant impermissibly attempts to mischaracterize the Contract's waiver of subrogation clause as an indemnification or exculpatory clause in a misguided effort to paint all risk allocation arrangements as unenforceable under Florida law. In so doing, Appellant threatens

[1] Black & Veatch Corporation is the corporate parent of Overland.

fundamental freedom of contract principles and the viability of large-scale construction projects.

ARGUMENT

I. Waiver of subrogation clauses are not violative of public policy.

Waiver of subrogation clauses are routinely enforced under Florida law and are not violative of public policy. Such clauses serve a critical function in complex commercial transactions within the construction industry by allowing contracting parties to obtain insurance policies for the specific purpose of insuring against specified risks, and to freely allocate risk amongst themselves and their respective insurance carriers. Because these provisions reflect the informed choices of sophisticated parties exercising their freedom of contract and support Florida's interest in developing and protecting its infrastructure, they should not be voided on public policy grounds.

As an initial matter, waiver of subrogation clauses simply are not violative of public policy, and are routinely enforced under Florida law. *See, e.g., United States Aviation Underwriters, Inc. v. Turnberry Airport Holdings, LLC*, 359 So. 3d 1207 (Fla. 3d DCA 2023) (upholding

a waiver of subrogation clause); *Ins. Co. of N. Am. v. E.L. Nezelek, Inc.*, 480 So. 2d 1333 (Fla. 4th DCA 1985) (same).

And the enforceability of these provisions flows from a fundamental principal underlying Florida law: the unequivocal "strong public policy favoring freedom of contract." *City of Largo v. AHF-Bay Fund, LLC*, 215 So. 3d 10, 16 (Fla. 2017); *Bituminous Cas. Corp. v. Williams*, 17 So. 2d 98, 101 (Fla. 1944) ("[I]t is a matter of great public concern that freedom of contract be not lightly interfered with."). Indeed, "[t]he Florida Constitution offers greater protection for the rights derived from the Contract Clause than the United States Constitution." *Sears, Roebuck & Co. v. Forbes/Cohen Florida Properties, L.P.*, 223 So. 3d 292, 299 (Fla. 4th DCA 2017) (noting that the Florida Supreme Court has signaled its willingness to protect contracts more fully than the federal courts).

Thus, "[f]reedom of contract is the general rule; restraint is the exception … [that] can be justified only by exceptional circumstances." *State ex rel. Fulton v. Ives*, 167 So. 394, 412 (Fla. 1936). The standard for restraining this freedom due to other public policy interests is a high one:

> Courts … should be guided by the rule of extreme caution when called upon to declare transactions void as contrary to public policy and should refuse to strike down contracts involving private relationships on this ground, unless it be made clearly to appear that there has been some great prejudice to the dominant public interest sufficient to overthrow the fundamental public policy of the right to freedom of contract between parties sui juris.

City of Largo, 215 So. 3d at 16 (quoting *Florida Windstorm Underwriting v. Gajwani*, 934 So. 2d 501 (Fla. 3d DCA 2005)). In applying this standard, Florida courts have repeatedly upheld parties' freely negotiated contracts even in the face of competing public policy interests. *See id.* (upholding a contract despite a strong opposing public policy interest because of "the long-standing policy to uphold contracts between parties and the fact that the contact … supported another public policy."); *Mazzoni Farms, Inc. v. E.I. DuPont De Nemours & Co.*, 761 So. 2d 306, 313 (Fla. 2000) (upholding a contract's choice-of-law provision despite an argument that the provision was violative of public policy).

Florida courts apply an especially strong presumption of enforceability when, as here, both contracting parties are sophisticated entities dealing at arm's length. *See Chetu, Inc. v. CA Short Co.*, No. 4D2024-2977, 2026 WL 885525 (Fla. 4th DCA Apr. 1,

2026) (noting that a contract was "entered into by two sophisticated parties" when deciding to uphold its waiver of consequential damages); *Keystone Airpark Auth. v. Pipeline Contractors, Inc.*, 266 So. 3d 1219, 1224 (Fla. 1st DCA 2019) (explaining that "[t]here is no public policy that would prevent sophisticated parties … from negotiating a contract that limits liability for consequential damages," where one such party was a governmental entity). Thus, it is consistent with public policy to allow architects and contractors doing business with sophisticated parties to enter into agreements allocating risk to third-party insurance providers.

Florida law recognizes as much:

> It is well established that parties to a contract may mutually agree that one party will obtain insurance as part of the bargain, to shift the risk of loss from both of them to the insurance carrier. If loss occurs, they are deemed to have agreed to look solely to the insurance, without regard to which party was negligent, and subrogation is not allowed.

Continental Ins. Co. v. Kennerson, 661 So. 2d 325, 327 (Fla. 1st DCA 1995) (quoting *Fairchild v. W.O. Taylor Commercial Refrigeration & Elec. Co.*, 403 So. 2d 1119, 1120 (Fla. 5th DCA 1981)). And, where a contract has done so, the insurer may not pursue a subrogation

claim against the professional, because the obvious purpose of such a contractual provision is to protect against precisely such a claim. *See Hous. Inv. Corp. v. Carris*, 389 So. 2d 689, 690 (Fla. 5th DCA 1980) (because a property owner always has the right to insure his own property for his own benefit, "[T]he only reasonably conceivable purpose of a construction contract provision placing an obligation on the owner to carry insurance is to benefit the contractor by providing him protection and exculpation from risk of liability for the insured loss.").

Failure to protect parties' ability to freely contract regarding the transfer of risk to insurance policies procured for that purpose, and the accompanying waiver of subrogation, threatens the viability of large-scale construction projects that are integral to Florida's economy and infrastructure. Large-scale construction projects require extensive funding and involve numerous parties including owners, architects, engineers, general contractors, subcontractors, suppliers, sureties, and lenders. And each project carries with it a constellation of inherent and often unforeseeable risks: unexpected labor shortages, fluctuations in the cost and availability of materials,

adverse weather conditions, regulatory changes, the ever-present possibility of cost overruns and schedule delays, and the ordinary casualty risks of damage or loss to property, among others. Because no single party can control or eliminate all of these risks, the ability to freely allocate risk through contract is essential to the maintenance of the industry.

Absent this ability, professional service providers in the construction industry would be unable to predict or limit their exposure, forcing them to either increase their bids to account for unquantifiable risk, or decline to bid altogether. This would reduce competition and inflate project costs. Lenders and sureties, facing unpredictable liability landscapes, would tighten credit or impose more onerous bonding requirements. The industry's existing mechanisms for cost control and certainty would deteriorate, and Florida's infrastructure would suffer as a result. There is, therefore, a strong public policy interest in upholding parties' ability to freely negotiate and contract regarding the provision of insurance against specified losses, and the concurrent waivers of subrogation.

II. The Contract contains a standard waiver of subrogation clause, which is distinct from an indemnification or exculpatory clause.

Florida law clearly distinguishes subrogation from exculpation and indemnification. Conflating these doctrines, as Appellant does, is therefore contrary to established precedent and doctrinally unsound.

Exculpatory clauses "relieve one party of the obligation to use due care and shift the risk of injury to the party who is probably least equipped to take the necessary precautions to avoid injury and bear the risk of loss." *Loewe v. Seagate Homes, Inc.*, 987 So. 2d 758, 760 (Fla. 5th DCA 2008). Because of this, "[e]xculpatory clauses are disfavored and will be strictly construed against the party claiming to be relieved of liability." *Theis v. J & J Racing Promotions,* 571 So.2d 92, 94 (Fla. 2d DCA 1990).

"Indemnity … shifts [an] entire loss from one who, although without active negligence or fault, has been obligated to pay, because of some vicarious, constructive, derivative, or technical liability, to another who should bear the cost because it was the latter's wrongdoing for which the former was held liable." *Id.* In the

construction context, indemnification arrangements often take the form of a contractor indemnifying a project owner against claims arising from the contractor's work. These arrangements are often heavily regulated to prevent parties from being indemnified against their own negligence.

Despite these definitional differences, Florida law treats exculpation and indemnification clauses similarly:

> Although there is a distinction in definition between an exculpatory clause and an indemnity clause in a contract, they both attempt to shift ultimate responsibility for negligent injury, and so are generally construed by the same principles of law. An exculpatory clause purports to deny an injured party the right to recover damages from the person negligently causing his injury. An indemnification clause attempts to shift the responsibility for the payment of damages to someone other than the negligent party (sometimes back to the injured party, thus producing the same result as an exculpatory provision).

O'Connell v. Walt Disney World Co., 413 So.2d 444, 446 (Fla. 5th DCA 1982).

In contrast, subrogation is not a mechanism for absolving a party from liability—it is a doctrine governing derivative rights of third-party insurers. Because of this, Florida law recognizes critical distinctions between the exculpation and indemnification doctrines

on one hand, and subrogation on the other. Although both indemnification and subrogation doctrines "involve parties seeking reimbursement for monies paid which should have been paid by another," this commonality "cannot be used to shift attention away from the true distinction; that is, subrogation and indemnification are different because the rights involved are different." *Allstate Ins. Co. v. Metro. Dade Cnty.*, 436 So. 2d 976, 978 (Fla. 3d DCA 1983).

"Subrogation is the substitution of one person in the place of another with reference to a lawful claim or right." *State Farm Mut. Auto. Ins. Co. v. Johnson*, 18 So. 3d 1099, 1100 (Fla. 2d DCA 2009) (quoting *W. Am. Ins. Co. v. Yellow Cab Co. of Orlando, Inc.*, 495 So. 2d 204, 206 (Fla. 5th DCA 1986)). "Subrogation rights place a party … in the legal position of one who has been paid money because of the acts of a ***third*** party," and "the subrogee 'stands in the shoes' of the subrogor and is entitled to all of the rights of its subrogor." *Allstate Ins. Co.*, 436 So. 2d at 978 (emphasis added). Put differently, subrogation clauses expressly address a *third-party insurer's* rights rather than rights of parties involved in the underlying agreement. Section 5.3.5 of the Contract is a standard waiver of subrogation

clause, as it expressly provides that the parties "waive against each other … all damages covered by property insurance provided herein, except such rights as they may have to the proceeds of such insurance," and that the parties "shall, where appropriate, require similar waivers of subrogation." (R. 599-600).

Thus, the distinction between exculpation clauses, indemnification clauses, and waiver of subrogation clauses is simple: exculpation and indemnification clauses shift or release liability between parties involved in the agreement at issue, while waiver of subrogation clauses (in agreements between an insured and those other than their insurer) forbid extending involved parties' rights to third parties. In other words, waiver of subrogation clauses do not limit the contracting parties' rights between and against one other—they merely limit the rights of third parties who are not involved in the contract at issue. And, as discussed above, such a waiver of subrogation is entirely appropriate where the parties have agreed, as they are permitted to do, to shift the risk of loss to insurance contracts procured for that purpose and to look solely to the insurance for recovery; under such a circumstance, subrogation is

not allowed because the insurer cannot, under the guise of subrogation, assume rights that its insured would not itself have, and allowing such subrogation would defeat the entire purpose of the contractual provision. *See Continental Ins. Co.*, 661 So. 2d at 327; *Hous. Inv. Corp.*, 389 So. 2d at 690.

III. Accepting Appellant's arguments would have monumental policy consequences.

As set forth above, risk-allocation provisions shifting the risk of loss to insurance policies procured for that purpose, and the accompanying waiver of subrogation – whether express or implied – are routine in professional service contracts relating to complex construction projects—indeed, such clauses are contained in the standard contract forms provided by many professional associations for their members' use.

Without the ability to customize the allocation of risk under a contract, an architect or other professional would—in return for only a comparatively small fee—be forced to expose himself to millions of dollars (or more) in potential liability. And, if architects are forced to bear this liability themselves, the cost of practicing architecture in Florida (and thus the fees architects must charge their clients) will

go up substantially. Accepting the Appellant's position would also call into question the ability to give effect to the contracting parties' reasonable expectations in innumerous existing contracts where, based on the long line of cases enforcing such clauses, the parties have contracted to allocate risks to insurance policies. Were the Court to now hold that such provisions cannot be enforced, parties throughout the State will lose the benefit of their bargained-for contracts and current business dealings will be thrown into a state of havoc. If such a drastic shift in policy is to be made in the State of Florida, it should be made not by the courts, but by the legislature[2]—"the branch of government best suited to weigh and

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[2] Such drastic changes in the State's public policy not only *should* be left to the Legislature, the Legislature has also demonstrated that it is willing and capable to actually make such a change when it deems appropriate, including in related contexts. By way of example, for decades Florida courts limited the ability of insurers to seek contribution from other insurers for costs incurred in defending suits. *See, e.g.*, *Argonaut Ins. Co. v. Maryland Cas. Co.*, 372 So. 2d 960, 963 (Fla. 3d DCA 1979); *Pa. Lumbermens Mut. Ins. Co. v. Ind. Lumbermens Mut. Ins. Co.*, 43 So. 3d 182, 186-87 (Fla. 4th DCA 2010). In 2019, however, the Legislature adopted section 624.1055, Florida Statutes, to permit exactly such a claim. If the Legislature wished to similarly change the State's public policy and overrule the

allocate social costs." *Levy v. Fla. Power & Light Co.*, 798 So. 2d 778, 782 (Fla. 4th DCA 2001); *Rehab Ctr. at Hollywood Hills, LLC v. Fla. Power & Light Co.*, 299 So. 3d 16, 23 (Fla. 4th DCA 2020) (a "'drastic shift' of liability" is properly made by the legislature, not courts).

CONCLUSION

Florida courts recognize a clear distinction between waivers of subrogation and clauses regarding exculpation or indemnification. While exculpation and indemnification clauses are generally more scrutinized, the ability to freely negotiate and contract regarding waivers of subrogation is embraced by Florida law and is consistent with the public policy of this State. The Court should affirm the decision of the Sixth Judicial Circuit Court in and for Pinellas County, Florida.

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long line of cases permitting sophisticated parties to contractually allocate risk to insurance policies and waive subrogation, it certainly could have done so—but it has not.

Respectfully submitted,

/s/ BENJAMIN J. GROSSMAN

ASHLEY GRABOWSKI
Florida Bar No. 1049290
FOLEY & LARDNER LLP
Primary:
agrabowski@foley.com
Secondary:
dguillen@foley.com
100 North Tampa Street,
Suite 2700
Tampa, Florida 33602

BENJAMIN J. GROSSMAN
Fla. Bar No. 92426
FOLEY & LARDNER LLP
Primary: bjgrossman@foley.com
Secondary:
matthew.hunter@foley.com
106 East College Avenue
Suite 900
Tallahassee, Florida 32301
(850) 222-6100 (Tel.)
(850) 561-6475 (Fax)

COUNSEL FOR AMICUS CURIAE THE FLORIDA ASSOCIATION OF THE AMERICAN INSTITUTE OF ARCHITECTS

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that a copy of the foregoing has been furnished by electronic mail through the Florida E-Filing Portal on this 4th day of May, 2026 to:

Jessica C. Conner, Esq.
William E. Lawton, Esq.
Nanfeng Li, Esq.
Joseph R. Flood, Jr., Esq.
DEAN, RINGERS, MORGAN & LAWTON, P.A.
Post Office Box 2928
Orlando, Florida 32802
wlawton@drml-law.com
nli@drml-law.com
jflood@drml-law.com
judyc@drml-law.com
jessica.conner@drml-law.com
dianaw@drml-law.com

Attorneys for Appellant, FMIT

Kelly R. Ziegler, Esq.
LAW OFFICES OF FARRAH C. FUGETT-MULLEN
200 Colonial Center Pkwy.
Suite 530
Lake Mary, FL 32746
kelly.ziegler@thehartford.com
FloridaLawOfficeSouth@thehartford.com
dixie.rogers@thehartford.com

Attorneys for Champion Controls, Inc.

Jeffrey A. Cohen, Esq.
Paul L. Nettleton, Esq.
Nicholas E. Athanas, Esq.
CARLTON FIELDS, P.A.
2 Miami Central
700 NW 1st Ave., Ste. 1200
Miami, Florida 33136
jacohen@carltonfields.com
pnettleton@carltonfields.com
nathanas@carltonfields.com
jsalermo@carltonfields.com
gdebrosse@carltonfields.com

Appellate Attorneys for Harn RO Systems, Inc.

Thomas J. Guilday, Esq.
Dwight O. Slater, B.C.S.
GUILDAY LAW, P.A.
1566 Village Square Boulevard
Tallahassee, Florida 32309
tom@guildaylaw.com
dwight@guildaylaw.com

Attorneys for Appellees Black & Veatch Corp., Overland Contracting Inc.

Paul A. Milberg, Esquire
Benjamin Lazarus, Esquire
KELLEY KRONENBERG, P.A.
1511 N. Westshore Blvd.
Suite #400
Tampa, FL 33607
PAMeservice@kelleykronenberg.com
pmilberg@kelleykronenberg.com
blazarus@kelleykronenberg.com
lmananzan@kelleykronenberg.com

Attorneys for Harn RO Systems, Inc.

/s/ BENJAMIN J. GROSSMAN
Benjamin J. Grossman

CERTIFICATE OF COMPLIANCE

I HEREBY CERTIFY that the type size and style used in this brief is double-spaced 14-point Bookman Old Style, and that this brief contains 3,013 words, calculated pursuant to Florida Rule of Appellate Procedure 9.045(e).

/s/ BENJAMIN J. GROSSMAN
Benjamin J. Grossman